

ROOST BALTIMORE

The Little Wing & Vessel

Plan of Action



July 2026



A cost-structure problem, not a concept problem

\$288.7K

2026 revenue — Jan–Jun actuals + Jul–Dec forecast

(\$164.0K)

2026 net operating loss · –57% of revenue

59%

of revenue goes to labor — \$170.3K/yr

95.2%

prime cost (COGS + labor) · healthy runs 60–65%

\$65.4K

flat management fee + rent charged today

(\$18.6K)

discounts & comps given away · –6.4% of sales

Source: 2026 Act/For P&L (June close). The concept works — the cost structure doesn’t: labor, owner charges and giveaways absorb the entire gross margin.





THE OPPORTUNITY

The peninsula has no corner store

I-95 and the rail lines cut the peninsula off from Federal Hill — no way to buy milk, a bottle of wine, or other everyday essentials. Four customer groups already come in for coffee:

1,000+

residential units nearby

75%

of 440K SF of office leased

80 keys

of furnished ROOST stays upstairs

40 acres

of parks & waterfront foot traffic

PRODUCT MIX

What Little Wing sells

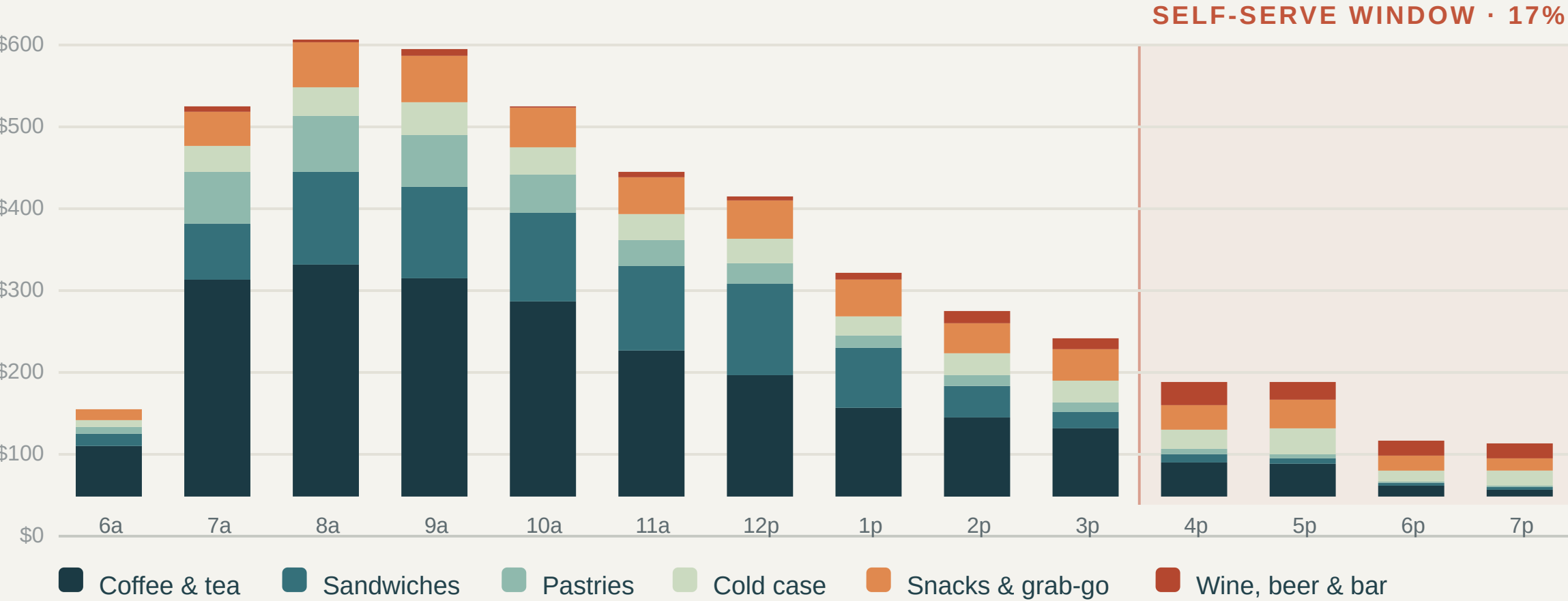


Coffee & tea drinks	\$100.6K	40%
Sandwiches	\$43.1K	17%
Retail beverages	\$42.7K	17%
Pastries	\$20.6K	8%
Grocery, snacks & goods	\$18.3K	7%
Grab & Go	\$11.4K	5%
Deals, specials & toasts	\$9.3K	4%
Smoothies	\$4.5K	2%



PRODUCT MIX

What Little Wing sells



7-9am

The peak — the three biggest hours are ~34% of the day. One barista covers all of it under the plan.

11am-1pm

Lunch runs food-led — sandwiches top the mix through midday, then taper hard after 2p.

4pm+

The tail skews beverage — coffee fades while the cold case, snacks, wine, beer & canned cocktails carry the window. It sells itself.



Structural levers to improve profitability

01 Labor model Single shift +\$39K / yr - Shift 6:00a–4:00p · doors open 6:30a - Single barista shift - Self-serve, cold case & shelves after 4pm	02 Increase pricing +\$0.10–\$1.00 +\$24K / yr - Increase drink pricing \$0.10–\$0.50 - Increase sandwiches & smoothies +\$0.75–\$1.00 - Adjust the top-selling latte \$0.50 to hold volume	03 Remerchandise +\$24K GP +\$9K / yr - More convenience items - Add travel category - Add zero-labor everyday staples - Frees ~200 barista hours a year	04 Programming +\$500 / wk –\$51K / yr - Replace nightly/weekly programming with intentional 2x/month activations - Focus on low-cost, high-impact events - Use brand/vendor partnerships to offset costs and drive traffic Traffic support already reflected in the revenue plan — no incremental revenue claimed	05 Operating Expenses \$65.4K → \$14.8K –\$51K / yr 4% management fee replaces the \$48K flat fee - Rent waived - Owner charges drop from 22.6% to 4.0% of revenue
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Close staffed service at 4pm — keep the register open

6:00a – 4:00p one barista · single 10-hour shift · doors 6:30a	4:00p – close Self-serve · no added labor
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WHAT WE'D GIVE UP AFTER 4PM

~3.7%
of daily sales

Post-4pm sales = 17.3% of total sales (trailing 12 mo)
Only 21.5% of those sales require a barista
Net sales at risk = 3.7% of total revenue

RECAPTURED WITH ZERO LABOR

- 1

Toast self-serve kiosk
Guests ring up cooler drinks, grab-and-go, cans & retail themselves — no one behind the counter.
- 2

ROOST front-desk checkout
The hotel desk is staffed 24/7 anyway — it rings the sale or charges it straight to the room.
- 3

The math is lopsided
Staffing 4–8pm would cost ~\$33.8K/yr in labor to defend just \$9.1K of barista-required sales (~\$6.2K of margin). Even if every made-to-order sale walks, closing at 4pm comes out ~\$27.5K/yr ahead.



Impact of transitioning to a single shift

	CURRENT (ACTUAL WK)	PROPOSED	
FOH coverage hours / day	~16 (2 shifts)	11.1	
Days open / week	7	7	
FOH counter + supervisor	111.8	78.0	
BOH cook	13.3	13.3	
Total hourly staff-hours	125.1	91.3	−33.8 hrs
FOH hourly (counter + supervisor)	\$2,207	\$1,560	
BOH hourly (cook)	\$296	\$296	
Hourly labor subtotal	\$2,503	\$1,856	−\$647
Management labor	\$248	\$248	
Payroll taxes & benefits (16%)	\$440	\$337	
Total loaded labor / week	\$3,191	\$2,441	−\$750

~\$39.0

kLoaded labor / year

- Eliminate duplicate opening and closing FOH shifts
- Maintain kitchen support for specialty menu items and prep
- Improve labor efficiency while preserving guest experience



Reprice top sellers & lean into premium

HIGH-VOLUME ITEM	UNITS / 12MO	CURRENT	CHANGE	NEW PRICE	LA COLOMBE	STARBUCKS	DAILY GRIND
Latte · top seller	5,728	\$4.50	+\$0.50	\$5.00	\$5.00	\$5.45	\$3.95
Drip coffee	3,537	\$3.00	+\$0.50	\$3.50	\$3.25	\$3.45	\$2.30
Cold brew	1,869	\$4.50	+\$0.45	\$4.95	\$4.75	\$4.95	\$3.95
Draft Latte	319	\$5.25	+\$0.25	\$5.50	\$5.50	---	---
Cappuccino	1,305	\$4.75	+\$0.50	\$4.75	\$4.75	\$4.95	\$3.95
Americano	1,212	\$4.00	+\$0.25	\$4.25	\$4.25	\$4.45	\$3.50
Matcha latte	888	\$6.00	+\$0.50	\$6.50	—	\$5.95	\$4.50
Egg & Cheese	2,352	\$10.00	+\$1.00	\$11.00	\$8.95		\$4.95
Smoothies	619	\$8.00	+\$1.00	\$9.00+	—	\$5.95	\$6.00
Daily specials	510	\$6.00	+\$0.50	\$6.50	—	—	—

Lean into La Colombe

Match La Colombe pricing & lead with their branding where possible. The customer already knows it's a premium product and pricing is matched

Priced for Convenience

Premium reflects paid for hotel convenience and a customer base that is 60% internal who have no premium nearby alternative.



Shelf strategy

01

More Beverage & Alcohol

- Curated wine selection merchandised like a neighborhood market
- Small & large format spirits, RTDs & canned cocktails
- 6- & 12-pack beer with grab-and-go convenience
- Highest sales and margin per square foot

02

Smarter SKU Mix

- Eliminate slow-moving, specialty products
- Expand core everyday essentials with proven demand
- Curate assortment using sales data and guest behavior
- Increase turns while simplifying operations

03

Maximize Shelf Productivity

- Deeper, denser inventory of top performing products
- More facings for best sellers & impulse purchasing
- Increased sales per SF without labor
- Improved visual merchandising

04

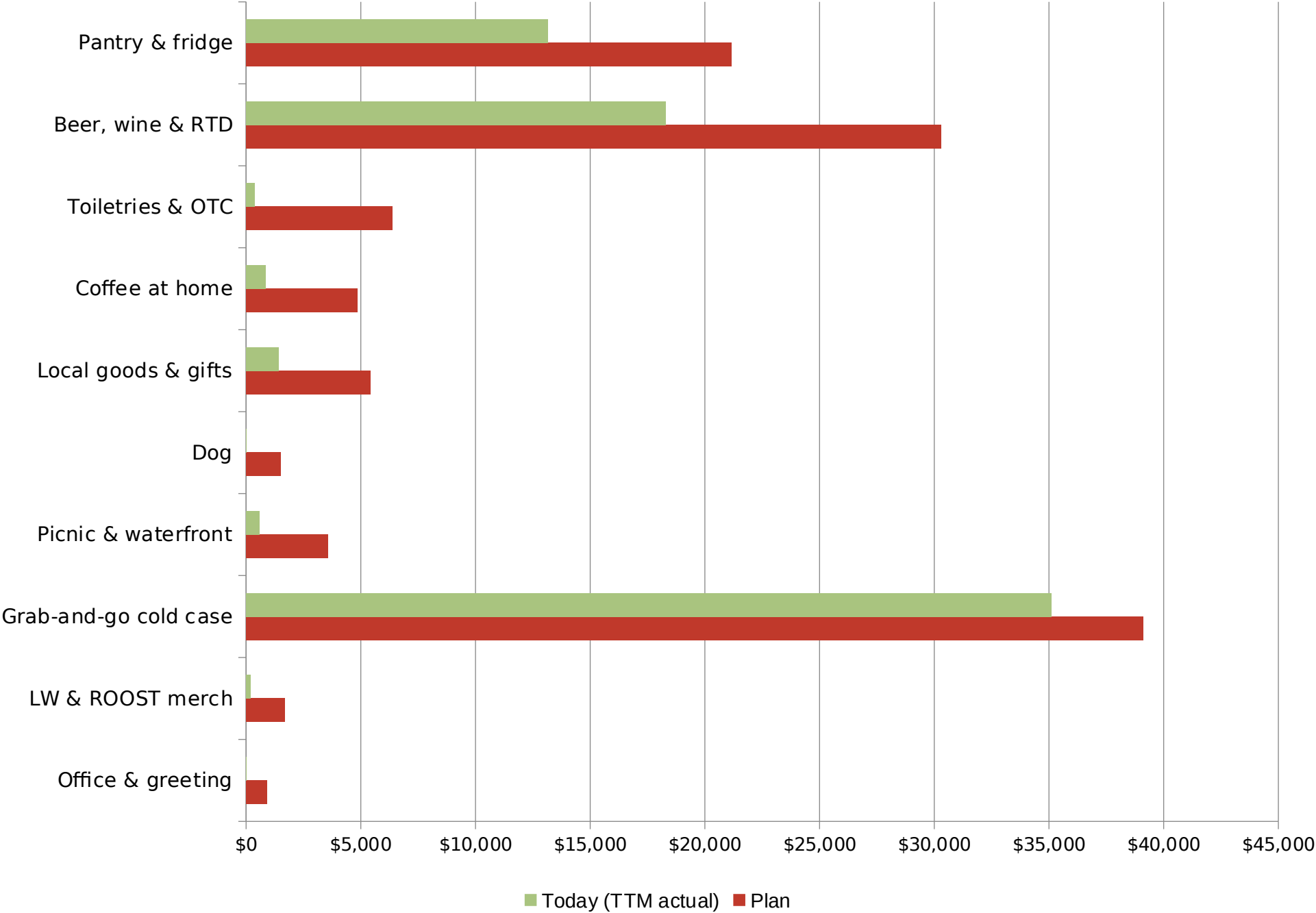
Everyday Essentials

- Grocery essentials that drive repeat neighborhood visits
- Pantry, household & personal care basics
- Capture convenience spend

Shelf strategy

RETAIL MIX

Where retail is today, and where it goes



\$1,346 → \$2,210 /wk
today's actual shelf run-rate (TTM) to the stabilized plan target

\$114.9K / yr
plan-year shelf & packaged revenue — 31.7% of the \$362.1K go-forward top line

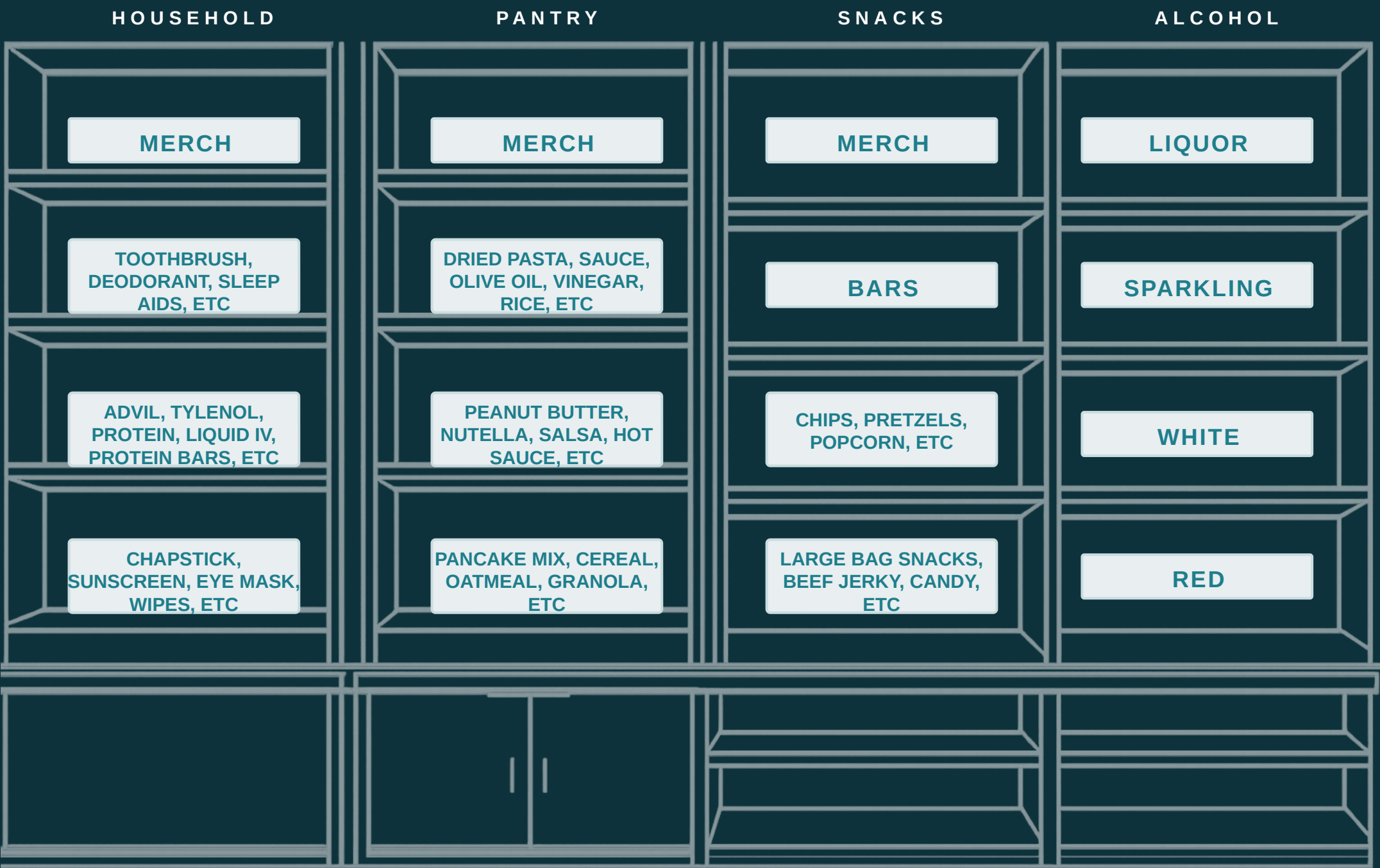
~50%
product margin on the new assortment (model COGS input) — +\$44.9K new revenue in the plan

\$23.9K / yr
incremental gross profit in the model, with no added labor, rent, or equipment against it

Today = trailing-12-month Toast item detail (Jul 2025–Jun 2026), 404 shelf SKUs, \$70.0K. Plan = today + the \$44.9K remerchandising increment in the operating model, allocated per the shelf map. 54% of current SKUs sell <\$50/yr (6.6% of retail \$) — the space funding the new categories.



Shelf strategy



Give people a reason to come...and to buy

LITTLE WING AFTER DARK

(+) 2x/month

Transition from weekly evening programming to curated events twice per month. Programming that brings people into the door:

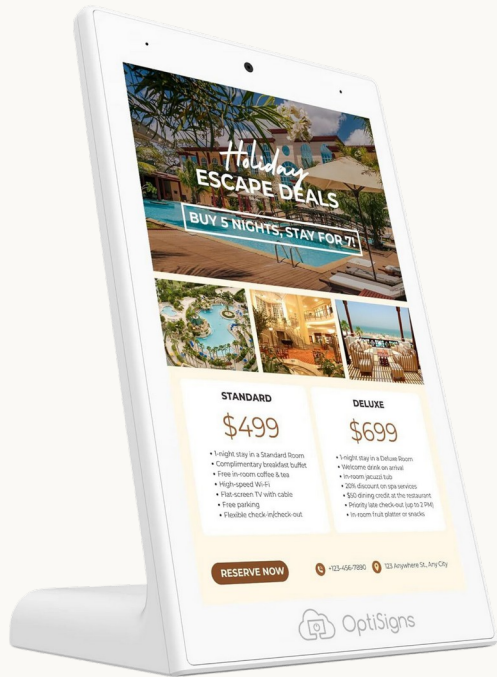
- Blossom Martini × La Colombe Pop-Up
- Wine Wednesday (monthly)
- Acoustic Music Night
- Poetry & Spoken Word
- Local Artist Showcase

POS MARKETING

mobile displays

Increase awareness with dynamic digital displays at key guest touchpoints (front desk & Little Wing POS station)

- Showcase Little Wing menu items and daily specials.
- Highlight upcoming events and resident programming.
- Promote seasonal offerings and limited-time products.



The go-forward plan

	2026 ACT/FOR	2026 MODIFIED · 8/1 GO-LIVE	2027 PLAN
Total income	\$288.7K	\$314.9K	\$370.9K
Cost of goods sold	\$104.6K	\$103.8K	\$112.3K
Labor	\$170.3K	\$155.5K	\$131.2K
Prime cost	\$274.9K	\$259.2K	\$243.6K
Operating profit	\$13.8K	\$55.6K	\$127.3K
Operating expenses	\$112.4K	\$109.1K	\$111.4K
Management fee	\$48.0K	\$34.2K	\$14.8K
Rent / occupancy	\$17.4K	\$9.7K	\$0
NET OPERATING PROFIT	(\$164.0K)	(\$97.4K)	+\$1.0K

OWNER TERMS — DECIDED

4% management fee replaces the \$48K flat fee
Rent waived (was 6% of revenue)
All levers live 8/1/2026 — actuals through June untouched

THE RESULT

Full-year loss ELIMINATED — from (\$164K) to a \$1.0K profit
Combined with Vessel (+\$54.2K), the portfolio turns positive in 2027: +\$82.4K

IMMEDIATE IMPACT — AUG 1 THROUGH YEAR-END

(\$1.2K) with the changes vs (\$67.8K) with no changes
→ +\$66.6K in five months



ROOST BALTIMORE

Vessel



July 2026



Economic restructure

PLACEHOLDER

01

F&B minimum

\$4,000

PER 4-HOUR EVENT · WAS NONE

- Replaces open-ended, no-minimum bookings
- Guarantees revenue before a room is staffed

02

Service charge + admin fee

20% + 5%

≈ \$1,000 ON THE MINIMUM

- Applied to food & beverage
- Covers the standard service labor; admin fee covers 3% commission payout + 2% credit card processing fees

03

Food markup

40%

ON ALL EVENT FOOD

- Standard markup on catered menus
- Protects food margin on every plate

04

Fewer, better events

Cut the tail

EVENTS THAT LOSE ON TRAFFIC

- Drop low-value bookings that net a loss



LABOR MODEL

Price labor within a standard event package **PLACEHOLDER**

EVERY EVENT INCLUDES

1 bartender + 2 servers

\$35 / hour × 5-hour shift × 3 staff

\$525 per event · baked into event pricing

Anything beyond the standard is **special consideration** — the additional labor is billed through to the client, not absorbed.

CONFIRM THE SOP

Hourly labor above the standard needs sign-off

No extra shifts or hours are committed to an event until they're approved in writing.

Brad **Michael** approve above-standard labor



The go-forward plan

	2026 ACT/FOR	2026 MODIFIED · PHASED GO-LIVE	2027 PLAN
Total income	2026 ACT/FOR	\$354.8K	\$350.1K
Cost of goods sold	2026 ACT/FOR	\$122.9K	\$136.3K
Labor	2026 ACT/FOR	\$80.0K	\$60.7K
Prime cost	2026 ACT/FOR	\$203.0K	\$197.0K
Operating profit	2026 ACT/FOR	\$151.8K	\$153.1K
Operating expenses	2026 ACT/FOR	\$81.8K	\$52.0K
Management fee	2026 ACT/FOR	\$33.1K	\$14.0K
Rent / occupancy	2026 ACT/FOR	\$13.8K	\$0
NET OPERATING PROFIT	2026 ACT/FOR	+\$23.1K	+\$87.1K

EVENT TERMS — DECIDED

\$4,000 F&B minimum · ~75 events/yr (71% of run-rate — fewer, better events) · 24.9% NOI margin per event

20% service charge + 5% admin fee billed to clients — admin fee is income, covering 3% commission + 2% CC processing

Fees, rent waiver & expense targets live 8/1/2026 · client-billed 5% admin fee live 9/1 (August events contracted at old terms)

THE RESULT

Vessel swings from a (\$13.5K) year to +\$87.1K in 2027

IMMEDIATE IMPACT — AUG 1 THROUGH YEAR-END

+\$45.5K with the changes vs +\$9.0K with no changes → +\$36.6K by year-end

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Current, modified & 2027 — both outlets

	2026 ACT/FOR	2026 MODIFIED · 8/1 GO-LIVE	2027 PLAN
Total income	\$640,667	\$669,636	\$720,967
Cost of goods sold	\$227,562	\$226,693	\$248,612
Gross profit	\$413,105	\$442,943	\$472,355
Labor	\$250,304	\$235,512	\$191,929
Operating expenses	\$205,587	\$190,925	\$163,440
Management fee	\$96,000	\$67,293	\$28,838
Rent / occupancy	\$38,722	\$23,522	\$0
NET OPERATING PROFIT	(\$177,508)	(\$74,309)	\$88,148

BY OUTLET — NOP

Little Wing: (\$164,007) → (\$97,361) → +\$1,034 — turns profitable

Vessel: (\$13,501) → +\$23,052 → +\$87,114 (fees 8/1 · client billing 9/1)

THE SWING

(\$177,508) today to +\$88,148 in 2027 — a \$265,656 turnaround, every lever tied to the operating model

IMMEDIATE IMPACT — AUG 1 THROUGH YEAR-END

+\$103,199 combined by year-end (Little Wing +\$66,646 · Vessel +\$36,553) vs no changes

CONSOLIDATED | P&L

2027 by month

	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	FY 2027
Revenue	\$74,005	\$44,166	\$74,005	\$44,166	\$64,059	\$60,081	\$60,081	\$60,081	\$60,081	\$60,081	\$60,081	\$60,081	\$720,967
Cost of goods	\$26,138	\$14,523	\$26,138	\$14,523	\$22,266	\$20,718	\$20,718	\$20,718	\$20,718	\$20,718	\$20,718	\$20,718	\$248,612
Labor cost	\$18,722	\$13,550	\$18,722	\$13,550	\$16,998	\$16,309	\$16,309	\$16,309	\$16,309	\$16,309	\$16,309	\$12,532	\$191,929
Prime cost	\$44,860	\$28,073	\$44,860	\$28,073	\$39,265	\$37,026	\$37,026	\$37,026	\$37,026	\$37,026	\$37,026	\$33,250	\$440,541
Operating profit	\$29,145	\$16,093	\$29,145	\$16,093	\$24,794	\$23,054	\$23,054	\$23,054	\$23,054	\$23,054	\$23,054	\$26,831	\$280,426
Controllable expenses	\$12,974	\$9,285	\$12,974	\$9,285	\$11,744	\$11,252	\$11,252	\$11,252	\$11,252	\$11,252	\$11,252	\$11,252	\$135,029
Uncontrollable expenses	\$5,675	\$3,737	\$5,675	\$3,737	\$5,029	\$4,771	\$4,771	\$4,771	\$4,771	\$4,771	\$4,771	\$4,771	\$57,249
NET OPERATING PROFIT	\$10,496	\$3,071	\$10,496	\$3,071	\$8,021	\$7,031	\$7,031	\$7,031	\$7,031	\$7,031	\$7,031	\$10,807	\$88,148

Vessel + Little Wing, all levers in effect. ALL twelve months profitable — worst month +\$3,071. Vessel scaled to ~75 events at the \$1,157-NOP/event card (24.9% margin). Uncontrollable expenses include the 4% management fee; rent waived.

YOY IMPROVEMENT — NET OPERATING PROFIT (2026 w/ changes live 8/1 LW · 9/1 Vessel → 2027)

- Little Wing: (\$97,361) → +\$1,034 · +\$98,395 year over year — turns profitable
- Vessel: +\$23,052 → +\$87,114 · +\$64,062 year over year
- Combined: (\$74,309) → +\$88,148 · +\$162,457 year over year — a \$265,656 swing vs the no-changes baseline of (\$177,508)